BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE COMPANY OF OKLAHOMA, AN OKLAHOMA CORPORATION, FOR AN ADJUSTMENT IN ITS RATES AND CHARGES AND THE ELECTRIC SERVICE RULES, REGULATIONS AND CONDITIONS OF SERVICE FOR ELECTRIC SERVICE IN THE STATE OF OKLAHOMA AND TO APPROVE VARIOUS COST RECOVERY MECHANISMS AND TARIFFS	)	CASE NO. PUD 2025-000075

REBUTTAL TESTIMONY OF

ALEX E. VAUGHAN

ON BEHALF OF

PUBLIC SERVICE COMPANY OF OKLAHOMA

May 2026

TESTIMONY INDEX

EXHIBITS

EXHIBIT	**DESCRIPTION**
EXHIBIT AEV – 1R	Proposed Modifications to Rate Schedule LPL
EXHIBIT AEV – 2R	Proposed New Large Load Power Rate Schedule
EXHIBIT AEV – 3R	Google's Capacity Commitment Framework

I. INTRODUCTION

Q. PLEASE STATE YOUR NAME, POSITION, AND BUSINESS ADDRESS.

A. My name is Alex E. Vaughan. I am employed by the American Electric Power Service Corporation (AEPSC) as Managing Director, Pricing Generation & Fuel Strategy, in the Regulatory Services Department. AEPSC is a subsidiary of American Electric Power Company, Inc. (AEP) that provides corporate support services to the operating subsidiaries of AEP, including Public Service Company of Oklahoma (PSO or the Company). My business address is 1 Riverside Plaza, Columbus, Ohio 43215.

Q. ARE YOU THE SAME ALEX E. VAUGHAN WHO FILED DIRECT TESTIMONY IN THIS CASE?

A. Yes, I am.

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

A. The purpose of my testimony is to:

- Describe House Bill 2992 (HB 2992).
- Discuss and rebut the issues and recommendations from Public Utility Division (PUD) Staff and intervening parties relating to the Company's proposed modifications to the Large Power and Light (LPL) tariff for large load customers.
- Address the issue of "bring your own generation," which was introduced by several parties in their responsive testimonies.

II. EXECUTIVE SUMMARY

The Company proposed in its direct case to revise its LPL tariff to manage financial risks from large-load customers (notably data centers) and to recover the costs of substantial new system investments anticipated to serve those loads. The following table, AEV-R Table – 1, summarizes the Company's proposed enhanced terms and conditions of service and a new demand charge for these customers, as well as the responsive testimony position of the parties to this case.

AEV-R Table – 1

Contract Term

PSO's Proposal	Intervenor	Recommendation
• 2-year term (10 – < 75 MW)	PUD	15 years
• 10-year term (≥ 75 MW)	OIEC	• 5 years minimum, 10 years maximum
	DCC	• 2 years for less than 75MW • 10 years for greater than 75MW
• Optional 5-year Load Ramp	Google	• 2 years for 10-74.9 MW • 10 years for greater than 75 MW
	PAO	• 10 year contract requirement, 5 year load ramp, exit fee are all consistent with other jurisdictions
	DOD	• N/A
	AG	• Alleges measures do not fully mitigate risk and proposes a new tariff

Exit Fees

PSO's Proposal	Intervenor	Recommendation
• 60 months' notice for 75 MW or greater • 24 months' notice for 10-75 MW • Exit Fee is due and payable to the Company upon the effective date of the contract termination. • Exit Fee Period is defined as the Large Load Customer's then remaining Initial Contract Term, or any agreed extension.	PUD	• If the Company sells the excess capacity that resulted from the early contract termination or another load steps into the exiting large load customer's contract capacity, to avoid double recovery, the additional net revenue received should be refunded to the customers through the Fuel Adjustment Clause (FAC)
	OIEC	• Require customers to cover any prudently incurred, unrecovered costs at the time of termination - net of any amounts that customers waiting to take service are willing to pay • Commitment term should be waived for departing customer if there is sufficient load in the queue
	DCC	• The notice requirement for large load customers greater than or equal to 75 MW that request a reduction to, or termination of their contract capacity should be 42 months • Large Load Customers should be permitted a one-time reduction in contract capacity of up to 20%, provided they give advance written notice consistent with the notice period applicable to contract terminations for that customer
	Google	• A fair exit fee must be based on a utility's actual net economic exposure at the time of departure
	PAO	N/A
	DOD	• A tariff provision should be added that waives or reduces the Exit Fee to the extent PSO can use the terminated or reduced capacity to serve another Large Load Customer or otherwise mitigate the costs caused by the departing customer • The tariff should define Terminated Capacity so that the Exit Fee applies only to the amount of Contract Capacity that is actually terminated, reduced, or discontinued
	AG	• Alleges measures do not fully mitigate risk and proposed a new tariff

Collateral

PSO's Proposal	Intervenor	Recommendation
• Collateral = 24 x monthly bill + direct interconnection costs • Updated annually if > 10% change.	PUD	• N/A
	OIEC	• If the collateral payment is an upfront payment in cash, as opposed to a letter of credit, that the payment amounts be included as an offset to rate base • Recommends that the payments be refunded to customers as the customer remains on the system
	DCC	• Approve the collateral proposal – provided that direct interconnection investments are limited to sole use facilities such as dedicated substations, or radial distribution or transmission lines, that are only attributable to the large customer, and the additional collateral associated with direct interconnection investments is returned to the customer annually
	Google	• The specific calculation and discretionary administration proposed by PSO must be modified to prevent double-counting and to eliminate discriminatory, opaque, and open-ended utility decision-making
	PAO	• PSO's Collateral requirements are consistent with other jurisdictions, however, the Company's requirement to include additional collateral is not common but is also not unreasonable.
	DOD	• Suggests a bilateral supply option
	AG	• Alleges measures do not fully mitigate risk and proposed a new tariff

System Contribution Charge (SCC)

PSO's Proposal	Intervenor	Recommendation
• $4.88/kW-month SCC for ≥ 10 MW customers from CES signing until service starts	PUD	• Inputs must be updated if the base rate case rate of return or class cost of service changes • Recommends a true-up mechanism for SCC and detailed accounting of all SCC revenue • If expected revenue from the SCC is greater than the current CWIP tariff, it is a benefit to existing customers
	OIEC	• Deny the SCC as it shifts development risk entirely onto the customer and reduces the Company's incentive to manage project timelines efficiently
	DCC	• Deny the SCC as it would not reduce costs or revenues recovered from other customers. The financial benefit would accrue solely to the Company and its shareholders.
	Google	• Deny the SCC as an extraordinary and unlawful departure from established regulatory principles, including the used and useful standard and cost causation principle
	PAO	• Deny the SCC
	DOD	• Deny the SCC • If Commission approves SCC, cap it at 12 months
	AG	• Alleges measures do not fully mitigate risk and proposes a new tariff

Minimum billing demand

PSO's Proposal	Intervenor	Recommendation
• Minimum demand = max (80% contract capacity or 90% demand ratchet)	PUD	• Commission should adopt the 80% contract capacity floor strictly as a baseline standard
	OIEC	• To the extent a customer can supply some of its own generation needs, the minimum billing demand would only apply to the portion of the customer's load being served by the utility
	DCC	• Agrees

	Google	• Commission should reject the 90% trailing demand ratchet for both On-Peak and Maximum Monthly Demand.
	PAO	• Decrease to equal the greater of 80% of contracted capacity or 80 % of the customer's maximum monthly demand over the previous 11 months
	DOD	• Suggests bilateral supply to address this more directly
	AG	• Alleges measures do not fully mitigate risk and proposes a new tariff

III. HOUSE BILL 2992

Q. PLEASE DESCRIBE HB 2992.

A. HB 2992, the Data Center Customer Ratepayer Protection Act of 2026, was signed into law on May 11, 2026, and takes effect July 1, 2026. HB 2992 ensures that large-load users such as data centers, AI facilities, and cryptocurrency operations pay their fair share of system infrastructure costs used to serve these users, utilizing cost causation principles to help avoid cost increases for existing customers.

The main provisions of the new law are as follows:

> Any applicable governing body responsible for reviewing electric supplier rates shall ensure that residential, commercial and industrial customers are protected from paying unjust rates resulting directly from electric service to large load customers. The applicable governing body shall ensure that all rates are fair, just and reasonable, and costs and revenues are assigned and allocated among customers in accordance with cost causation principles.
> All electric suppliers shall establish and maintain separate terms and conditions of electric service applicable to any large load customer and shall create and maintain separate tariffs applicable to such large load customers. These terms, conditions, and tariffs shall include credit requirements and any other measures necessary to ensure that such customers reimburse the electric supplier for all costs fairly allocated to them under Section 3 of this act, including costs incurred to directly serve the customer that may remain unrecovered if the customer departs the system or materially reduces load. The term of service for

> a large load customer shall be at least ten (10) years. For any public power utility using tax-exempt municipal financing, the term of the agreement shall be the lesser of ten (10) years or the applicable Internal Revenue Service Guideline.

It is encouraging that the legislature recognized the need to codify aspects of the Company's tariff proposal into law. The Company's original proposal described in my direct testimony largely comports with the new law. However, as described below, PSO has modified its proposal in this case to conform to the requirements of HB 2992. HB 2992 also renders a number of the proposals from other parties regarding the Company's proposed revisions to rate schedule LPL moot since those proposals do not meet the requirements of the new law.

Q. WHAT CHANGES TO THE COMPANY'S ORIGINAL PROPOSAL ARE REQUIRED TO COMPLY WITH HB 2992?

A. The Company's original proposal was to include the new large load customers in the existing LPL tariff class. HB 2992 clearly states that electric suppliers will create and maintain new tariffs for qualifying large load customers. As such, attached to my rebuttal testimony as EXHIBIT AEV – 2R is the Company's proposed separate tariff for large load customers with contract demands greater than 75 MW "Large Load Power," or more simply rate schedule LLP. EXHIBIT AEV – 1R is a redlined version of the LPL tariff with the enhanced terms and conditions for large load customers with contract capacities of 10 MW or greater, but less than 75 MW.

Q. WHAT CHANGES IF ANY DID THE COMPANY MAKE TO RATE SCHEDULE LLP FROM ITS INITIAL PROPOSAL?

A. The changes in rate schedule LLP from the Company's initial proposal are a matter of form, not function. The enhanced terms and conditions proposed in my direct testimony are now organized differently in the rate schedule LLP tariff sheet. It is also important to note that the proposed rates in rate schedule LLP are identical to those proposed in rate schedule LPL in this proceeding. They will remain as such until the Company resets rates in a future case in which the test year includes actual loads, revenues and costs for a qualifying new large load customer.

IV. CONTRACT TERMS

Q. PLEASE DISCUSS THE CONTRACT TERM RECOMMENDATIONS FROM INTERVENING PARTIES AND HOW THEY COMPARE WITH THE COMPANY'S PROPOSAL AND/OR HB 2992.

A. The parties who filed responsive testimony on this issue were generally in agreement with the Company's filed position. OIEC was the sole party who advocated for a shorter contract term for loads of 75 MW and above. OIEC witness Mark Garrett argues that a 10-year contract term significantly reduces customer flexibility. While long-term commitments may be appropriate in certain circumstances, imposing a uniform ten-year requirement on all qualifying customers is not tailored to actual cost causation or system needs and may discourage new investment.[1] I would argue that Mr. Garrett is simply wrong on this point as PSO's minimum 10-year term is the shortest proposed term of the AEP vertically integrated utilities that have addressed large load contracts, and those affiliates have multiple times the amount of signed load

[1] May 15, 2026, Responsive testimony of OIEC witness M. Garrett, pg. 8, ln. 7-15.

as does PSO. The Company's vertically integrated affiliate with the most signed large load contract demand has a minimum term of 12 years, with a five-year ramp period, thus the total contract period is 17 years. It seems obvious then that the 10-year term does not discourage investment in those states with longer minimum contract terms. Additionally, his argument has been made moot by HB 2992 being signed into law as it states, "The term of service for a large load customer shall be at least ten (10) years."

Q. DID ANY PARTY PROPOSE A LONGER CONTRACT TERM PERIOD THAN THE TEN YEARS PROPOSED BY THE COMPANY?

A. Yes, PUD Staff proposed a 15-year minimum contract term for customers signing contracts for 75 MW and above. If the Commission were to determine that the Company's minimum contract term of 10-years is too short, PUD Staff's recommendation is a reasonable, longer proposal and would be consistent with the law and with the approved large load proposals in the Company's affiliates' jurisdictions (12-20 years) as shown in AEV Figure – 3 in my direct testimony.

Q. PLEASE ADDRESS OIEC WITNESS M. GARRETT'S ADDITIONAL COMMENTS REGARDING LOAD RAMPS.

A. At page 9, beginning on line 7 he states, "Load Ramp schedules should be developed collaboratively between the Company and the customer to reflect actual operational needs and engineering constraints. Poorly designed ramp assumptions—especially when paired with pre-service charges—can result in customers being billed based on aspirational or inflated demand levels rather than realistic usage." To be clear, the Company does not "dictate" load ramp schedules. The Company works collaboratively with prospective customers and the physical/electrical constraints of serving each new large load. Customers provide a load ramp, especially data centered operations because buildings housing computing equipment come online in a staggered manner over time on each campus. Therefore, it makes sense that each customer has to provide its own risk-adjusted estimate of how its operations are going to grow over time to its ultimate contract capacity. Those ramping capacity figures are what the Company is agreeing to and planning to serve over time as the customer builds to its final contract capacity level. If the customer does not achieve those ramping capacities, they are agreeing to pay the established minimum billing levels for those periods. It is the reciprocal commitment to the Company agreeing to serve those amounts of capacity over the ramp period.

Q. WHAT OTHER PROPOSALS DO PARTIES MAKE OR TAKE ISSUE WITH THAT ARE RELATED TO THE TERM OF SERVING NEW LARGE LOAD CUSTOMERS?

A. 1. DCC witness Bieber suggests the following:

Approving the proposed LPL rate schedule with effective date of January 1, 2026, would be retroactive ratemaking, changing agreements after being entered into. Approval of LPL but only for new customers that execute a CES after July 1, 2026, grandfathering these customers with executed CES agreements prior to the effective date of the new tariff provisions should not adversely affect the Company or existing customers. [2]

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[2] Responsive testimony of DCC witness Bieber, pg. 14-15.

2. DOD witness Blank recommends that the proposed notice period be reduced from 60 months to 12 months.[3]

3. Google witness Kimbrough recommends that the Commission reject the PSO proposal for automatic renewal. If the intended purpose of large-load tariff design is to ensure greater financial commitments for new customers driving new costs on the system, it is not appropriate to automatically renew contracts after a customer satisfies initial obligations. At that point in time, the customer is not causing new costs on the system and should have the option to continue service under Schedule LPL (paying all applicable rates and surcharges) outside of a formal contract period.[4]

Q. DO YOU AGREE WITH THESE RECOMMENDATIONS?

A. No, and I will address each in turn.

1. DCC witness Bieber's claims of "retroactive ratemaking" are simply false and unfounded. Customers have been on notice of the Company's proposal to enhance the terms and conditions of service for rate schedule LPL since January 2, 2026, when this case was filed. All current large load CESs also incorporate tariff LPL by reference. Additionally, no one can contract against the risk of regulatory changes in terms of Commission regulated tariff rates or terms and conditions of service. It is well within the Commission's purview to make appropriate changes to the Company's approved tariffs for electric service for both existing and future customers when applicable cases are filed and litigated before them. This occurs every time the Commission approves new rates for service or a change to the existing terms and conditions of service.

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[3] Responsive testimony of DOD witness Blank, pg. 47.
[4] Responsive testimony of Google witness Kimbrough, pg. 26.

2. DOD witness Blank's proposal that the notice period to end a large load customer's service be reduced from 60 months to 12 months is completely unsupported and is not aligned with prudent utility planning practices, or the simple reality of having to disposition excess capacity if it were to exist. His recommendation to simply reduce the notice period to 12 months should be rejected. A compromise would be to add a mutual agreement clause to the proposed notice period language. That way, if a situation were to arise where one customer wanted to exit the system by giving notice, and the Company had another customer waiting to be served and could utilize the exiting customer's capacity, all parties would be better off, and other customers would not be adversely affected.

If the Commission were to determine that the Company's proposed 60-month notice period is too long, then I would recommend something no shorter than the 42 months proposed by DCC witness Bieber on page 7 of his direct testimony.

3. Mr. Kimbrough's recommendation to reject the Company's proposed automatic renewable provision, thus rendering the notice period moot, is at odds with the reality of system planning and serving large loads as DOD witness Blank's notice period reduction recommendation. These large loads are sophisticated operations and users of electricity; they should not be allowed to simply abandon cost responsibility for the portion of the Company's system serving them without proper notice. Growth and contraction of a utility's system need to occur in an orderly, thoughtfully planned manner so that reliable service can be provided to all customers at the lowest reasonable cost. For these reasons, Mr. Kimbrough's proposal regarding the automatic renewal clause and its practical implications on the notice period should be denied. None of the

Company's vertically integrated affiliates with approved large load tariff terms and conditions allow for system exit without a proper long-term notice.

V. EXIT FEES

Q. PLEASE DISCUSS THE TERMINATION FEE RECOMMENDATIONS FROM INTERVENING PARTIES.

A. One general theme from the responding parties[5] is mitigation. If PSO can reassign the contract capacity and system costs to another customer that is waiting to take service, it should allow the exiting customer to forgo the termination fee. To be clear, the Company's intention with the proposed exit fee is not to be punitive or to make a customer pay twice for the system costs being utilized to serve the large load, it is a necessary protection for existing customers. In fact, OIEC's witness M. Garrett recognizes this on page 11 of his responsive testimony where he states that if a large load leaves the system, it could leave stranded costs for other customer classes to pick up unfairly. After reading the parties' positions on this matter, the Company proposes to add the following clause to the proposed terms and conditions of new rate schedule LLP:

> Following receipt of proper notice, the Company will use reasonable efforts, consistent with its obligations as a public utility, to mitigate the Exit Fee amount owed or paid by the Large Load Customer by evaluating the opportunity to assign the terminated/reduced capacity to serve new Large Load Customers, to expand service to existing Large Load Customers, or otherwise secure offsetting expected revenues. The remainder of any mitigating amounts owed to the Large Load Customer shall be delivered to the Large Load Customer, or its designated successor, after all outstanding balances have been resolved.

[5] OIEC, DCC, Google, DOD, PUD.

This additional language is adequate to resolve the various mitigation issues raised by the parties in their responsive testimonies.

Q. DO YOU AGREE WITH DCC WITNESS BIEBER'S RECOMMENDATION TO ALLOW FOR A ONE-TIME REDUCTION IN CONTRACT CAPACITY FOR UP TO 20% OF THE LARGE LOAD CUSTOMER'S CONTRACTED CAPACITY?[6]

A. No, I do not. The Company's minimum billing proposal already allows for a 20% reduction to a customer's contract capacity without having to pay an exit fee on that amount of contracted load. It does so with the 80% minimum demand level based on a customer's contracted capacity. If a customer is exiting, they will not be using electricity so the high previous demand clause in the minimum billing will not be utilized and thus the 80% of contracted capacity will apply. The Company does not recommend allowing an additional 20% reduction, that would allow for too much risk from these operations to be placed back on the Company and its other customers. The Company's current proposal allows for sufficient flexibility for new or prospective large load customers to change their operations in the future. The responsibility for them to plan their businesses and operations should remain on them. The clause in its currently proposed form from the Company, along with other proposed terms, also helps to reduce or eliminate speculative loads and should not be weakened.

[6] Responsive testimony of DCC witness Bieber, pg. 7.

Q. DO YOU AGREE WITH GOOGLE WITNESS KIMBROUGH'S RECOMMENDATIONS REGARDING THE PROPOSED EXIT FEE THAT BEGIN ON PAGE 32 OF HIS RESPONSIVE TESTIMONY?

A. Besides his recommendation to add explicit mitigation language to the tariff, no I do not. Again, this term is not an attempt to make large load customers pay twice for the cost of system infrastructure being used to serve them, nor is it a "punitive revenue guarantee".[7] In the same section of testimony he states that "a fair exit fee must be based on a utility's actual net economic exposure at the time of departure," which I agree with and is represented by the Commission approved system cost of service and resulting rates for LLP at the time of the Customer's exit. This is exactly what the Company has proposed as the basis for the exit fee.

On the issue of whether a present value factor should be applied, rather than using the nominal value of the remaining minimum billings, this is an example of where more is literally more. The amount of actual required exit fee cannot be determined accurately until a system exit occurs and the Company can evaluate its portfolio of system assets at that time, the demand/prices in the wholesale market, whether or not additional retail customers are coming online and can utilize some amount of the system capacity formerly used by the exiting customer, and other factors.

For these reasons, and the explicit mitigation language the Company proposes to add to the terms and conditions, Google's present value proposal should be denied as it would weaken the proposed protection for existing customers and may lead to

[7] Responsive testimony of Google witness Kimbrough, pg. 33, ln. 2.

Google not paying its fair share of system costs. Additionally, Google, whom Mr. Kimbrough is representing, has agreed to exit fees based on the nominal remaining minimum bills with the Company's affiliates in West Virginia, Indiana, and Virginia. There is no reason for that level of customer protection to differ in Oklahoma.

VI. COLLATERAL

Q. DO YOU AGREE WITH THE COLLATERAL RECOMMENDATIONS MADE BY DCC AND GOOGLE?

A. In part yes. I agree with Mr. Bieber[8] that the direct interconnection facilities should be better defined in the tariff to alleviate any speculation as to what is covered by that term. To address this, the Company recommends adding the following clause to the proposed collateral section of the LLP tariff: "The direct interconnection investment shall be defined as all transmission and distribution facilities' investment not included for recovery in PSO and AEP Oklahoma Transmission Company, Inc. SPP OATT revenue requirement."

I do not agree with Mr. Kimbrough's suggestion that the "direct interconnection assets are already separately funded or secured through initial CIAC facilities charges." The Company has not had a large load customer that has to make a CIAC payment per the Commission approved formula. The collateral proposal in question would also account for any CIAC payments made as it refers to "outstanding" direct interconnection investments. Outstanding is the critical word there, so any partial CIAC payments made by a prospective large load customer would be accounted for

[8] Responsive testimony of DCC witness Bieber, pg. 8.

and not lead to collateral being "double secured,"[9] especially when a CIAC is not financial security. It is an upfront payment contribution to reduce the amount of direct interconnection investment the Company would put into rate base related to a specific interconnection.

Q. PLEASE ADDRESS THE RECOMMENDATION MADE BY GOOGLE WITNESS KIMBROUGH ON PAGE 37 OF HIS RESPONSIVE TESTIMONY REGARDING CREDIT LANGUAGE.

A. Mr. Kimbrough seems to disagree with the Company's proposed credit language: "The Large Load Customer shall provide collateral in a form acceptable to the Company based upon the creditworthiness of the customer as determined by the Company." If the Commission determines that specific credit requirements should be included in the LLP tariff, the Company would propose the following:

> The Large Load Customer shall provide collateral to the Company ("Collateral Requirement") based upon the creditworthiness of the Large Load Customer and as outlined below. The amount of collateral to be provided within 10 business days of contract signing is equal to twenty-four (24) multiplied by: (a) during the first year of the contract, the maximum expected monthly non-fuel bill; or (b) after the first year of the contract, the Large Load Customer's previous maximum monthly non-fuel bill. The amount of collateral under the foregoing calculation will be recomputed annually, and the Large Load Customer shall have to provide within 10 business days of the request the recomputed amount if it is 10% or more greater than the current amount held. A Large Load Customer with both (a) a credit rating of at least A- from S&P and A3 from Moody's and (b) liquidity greater than ten times the Collateral Requirement shall be exempt from the Collateral Requirements.
>
> The Collateral Requirement must be provided in one or more of the following forms:

[9] Responsive testimony of Google witness Kimbrough, pg. 36, ln. 12.

a. A guarantee from the ultimate parent or a corporate affiliate of the Large Load Customer for the full Collateral Requirement, so long as the guarantor has both (a) a credit rating of at least A- from S&P and A3 from Moody's and (b) liquidity greater than ten times the Collateral Requirement; or

b. A standby irrevocable letter of credit ("Letter of Credit") for the full Collateral Requirement. The Letter of Credit must be issued by a U.S. bank or the U.S. branch of a foreign bank, which is not affiliated with the Large Load Customer or its guarantor, with a Credit Rating of at least A- from S&P and A3 from Moody's. Such security must be issued for a minimum term of 360 days. The Large Load Customer must cause the renewal or extension of the security for additional consecutive terms of 360 days or more no later than 30 days prior to each expiration date of the security. If the security is not renewed or extended as required herein, the Company will have the right to draw immediately upon the Letter of Credit and be entitled to hold the amounts so drawn as security. The Letter of Credit must be in a format acceptable to and approved by the Company; or

c. Cash for the full Collateral Requirement.

Q. DO YOU AGREE WITH THE COLLATERAL COMMENTS AND RECOMMENDATIONS OF OIEC WITNESS GARRETT?

A. I agree with him that the annual computation of the collateral requirement should be able to go up and down,[10] if it differs more than 10% from the initial amount the customer was required to post.

However, I do not agree with him that collateral should be "refunded"[11] to customers that remain on the Company's system. That runs counter to the actual concept of collateral in the first place. As long as these customers have a forward financial position with the Company, the Company should hold collateral to protect

[10] May 15, 2026, OIEC witness Mark Garrett Responsive Testimony, page 19, line 11
[11] *Id.*, page 19, line 10

itself and other customers should the large load customer discontinue its service or make an exit from the system without giving proper notice.

I also disagree with Mr. Garrett that the proposed collateral provisions could put Oklahoma at a competitive disadvantage relative to other jurisdictions.[12] I would again refer the Commission to Figure AEV-3 in my direct testimony. The Company's affiliate jurisdictions that have approved large load tariffs all use the same collateral requirements.. Those jurisdictions are experiencing significant load growth in the large load area and some already have the new loads online with the same or more restrictive terms and conditions as the Company has proposed in this proceeding. They, as well as the Company, are experiencing once in a generation system load growth. Economic development is not being chilled through the use of terms of conditions that implement reasonable financial responsibilities on the new system customers driving the growth.

VII. MINIMUM BILLING DEMAND

Q. WHY IS GETTING THE MINIMUM DEMAND SET TO A SUFFICIENT LEVEL SO IMPORTANT WHEN IT COMES TO SYSTEM EXPANSION FROM LARGE LOADS?

A. In my experience working with large load expansion across AEP's eleven state footprint, actual construction and energization through the ramp period tends to lag large-load customers' contract capacity commitments. Because of the Company's obligation to serve, it plans for those contracted capacity amounts and stands ready to serve them. While the hope is that the minimum billing clause will not come into play,

[12] *Id.*, page 19, lines 4-5.

in my experience it often does and is an important tool for ensuring that new large loads pay their share of the costs they are causing during their ramp periods and throughout the initial contract terms.

Q. DOES OIEC WITNESS GARRETT MISCHARACTERIZE THE CONCEPT OF MINIMUM BILLING DEMAND IN HIS RESPONSIVE TESTIMONY?[13]

A. Yes, he does. He has the concept completely backwards, as there is not a "revenue windfall" for the Company with new large load customers subject to the proposed terms. It is however another method of properly securing regular recovery for the system costs caused by the large load customers. Mr. Garrett seems to characterize minimum billing demand as the Company dictating to large load customers what their contract capacity amounts will be and thus "increasing the likelihood that customers will pay for capacity or usage levels they do not ultimately require." The opposite is in fact true. The large load customers are signing up for the amounts of system capacity they will be utilizing and then the Company is planning for and procuring that capacity. If customers want the Company to plan for a lower amount of capacity, then they can simply sign up for a lesser amount when planning their facilities. Or if their ultimate demand for an operation is uncertain, they can sign multiple contracts for phases of the same operation as their ultimate need becomes more clear to them over time, as some PSO customers have already done. This is in no way the Company forcing capacity on prospective customers and somehow receiving a "windfall." Minimum billing demand

[13] *Id.*, pages 13-14

is an appropriate, prudent planning and reasonable financial obligation tied to cost causation that ensures the customers causing the costs will be the ones that pay them.

Q. DOES GOOGLE WITNESS KIMBROUGH'S POSITION SUFFER FROM SIMILAR CONCEPTUAL ISSUES CONCERNING MINIMUM BILLING DEMAND?[14]

A. Yes, it does. Mr. Kimbrough's testimony unnecessarily includes unrelated FERC jurisdictional zonal transmission cost allocation, alludes to minimum billing having to do with "measurable stranded costs," and then alleges that PSO has not "quantitatively justified" the proposal to add an 80% minimum demand threshold to the current LPL minimum billing clause. This is not a cost allocation matter; it is revenue billings through rate design. The Company's current, Commission approved on-peak minimum demand threshold is set at 90% of the previous eleven-month high demand. The Company's proposal is to add a floor to the minimum demand threshold, that works in conjunction with the other proposed safeguards and elements of financial responsibility, to ensure that large load customers are paying their fair share and not shifting system costs onto other ratepayers. As shown in AEV – Figure 4 in my direct testimony, as is, the minimum demand clause provides no long-term cost responsibility. If an LPL customer simply stops its operations, it has no minimum bill after eleven months. This is something that has to be remedied in the case of large load customers to protect other ratepayers. A long-term contract cannot be successful if the customer

[14] Responsive testimony of Google witness Kimbrough, pg. 28-31.

is not responsible for the costs it caused to be incurred. AEV – Figure 4 quantifies and identifies this issue.

Additionally, minimum billing and minimum demand clauses apply to Commission approved rates. These are fully allocated, often litigated, jurisdictional costs to serve retail customers. They are not hypothetical or unquantifiable in any way. This clause is a way to ensure that the large load customers driving the Company's system growth have to pay for the costs they cause, nothing more. Mr. Kimbrough's recommendation that the minimum billing demand for large load customers not apply to the max demand charge in the current rate schedule LPL would allow for a lower collection amount on roughly 30% of the allocated demand costs[15] in the LPL rate design.

Q. CAN YOU PLEASE ADDRESS THE OTHER MINIMUM DEMAND RECOMMENDATIONS MADE BY THE OTHER PARTIES?[16]

A. Yes. I want to reiterate what is discussed in my direct testimony. The addition of the 80% of contract capacity clause is necessary because the LPL rate schedule has no such reference to contract capacity, only high previous demand. This could lead to a large load customer reducing its load over time and suffering no financial responsibility for doing so as illustrated in AEV – Figure 4. To put this in perspective, without this additional protection a 500 MW large load could walk away from a financial responsibility of over $900 million. This is not a reasonable outcome for the Company

[15] Calculated in AEV Workpaper 1 to my direct testimony.
[16] May 15, 2026, Responsive testimony of PUD witness Purvis at pg. 40; Responsive testimony of Google witness Kimbrough at pg. 27; May 15, 2026, Responsive testimony of PAO witness Dismukes at pg. 16; and DOD witness Blank all make comments and recommendations in their responsive testimonies.

and existing customers, nor does it align with cost causation. The new customer caused an increase in system costs to serve them and the minimum billing demand clauses in the rate schedule should ensure steady collection of those costs and help protect existing customers from cost shifting should the new customer not deliver on its contractual load levels. The existing level of minimum demand for the on-peak demand charge in rate schedule LPL is set at 90% of the highest on-peak demand set in the trailing eleven months, which is an adequate level of cost responsibility protection. The Company's proposal is simply to add a lower 80% contract capacity floor should the customer greatly reduce its operations, as well as expand the 90% on-peak minimum demand to the max demand charge. The rate schedule LPL rate design simply divides the total demand related cost recovery between the two charges. If the Commission does not want to extend the 90% minimum billing demand to the max demand charge in new rate schedule LLP, I would recommend that the maximum demand charge be eliminated and all of those costs be recovered through the on-peak demand charge.

VIII. SYSTEM CONTRIBUTION CHARGE

Q. ARE ANY OF THE PARTIES SUPPORTIVE OF THE PROPOSED SYSTEM CONTRIBUTION CHARGE (SCC)?

A. Yes, PUD Staff appears to be the lone supportive party to the Company's SCC proposal, which would more closely align cost causation with the costs of developing new generation system assets to support the load growth across the Company's system.

Q. ARE YOU SURPRISED BY THE NEAR UNANIMOUS OPPOSITION FROM THE PARTIES TO THIS CASE?

A. Yes, I am, particularly from the large-load customer interests who have made various public statements regarding paying their fair share of costs to serve them and not wanting to shift such costs to existing customers:

> The data center industry is equally committed to being good neighbors, and that includes our ongoing commitment to paying our full energy costs. The industry will also continue to partner with policymakers, regulators, utilities, and grid operators to ensure that those costs are not passed on to other customers. – Josh Levi, President, Data Center Coalition[17]

> Google is committed to paying for 100% of the power our data centers use and any new infrastructure costs directly driven by our growth. One way we will do this is through the Capacity Commitment Framework (CCF), which was first adopted in early 2025. This consensus-based approach requires large energy users to guarantee funding for the new power and infrastructure required to serve them. – Amanda Peterson Corio, Global Head of Data Center Energy for Google[18]

To be clear, my testimony is not that these entities are going back on their public commitments in this area. I simply find it hard to believe that they are explicitly pushing back on paying for costs their load growth is causing. While I do recognize the novelty of a pre-service charge in the electric utility industry such as the proposed SCC, I do not think it is a big conceptual leap in an industry whose rates for service are cost-based and follow the principle of cost causation. Large load customers are causing the Company's Oklahoma retail system to grow dramatically. If they truly want to

[17] https://www.datacentercoalition.org/cpages/ratepayer-protection-pledge-statement/69a8acef96385f05ec59debe.
[18] https://blog.google/innovation-and-ai/infrastructure-and-cloud/global-network/affordability-pledge-responsible-energy-growth/.

ensure that the cost of system growth is not passed on to other customers, "be good neighbors", and are "committed to paying for 100% of any new infrastructure costs directly driven by their growth", then they should be aligned with the Company's proposed SCC.

Q. IS THERE ANY ADDITIONAL SUPPORT FOR THE CONCEPT OF A SYSTEM CONTRIBUTION CHARGE IN OTHER PUBLIC MATERIALS GOOGLE HAS AUTHORED?

A. Yes. Google's Capacity Commitment Framework[19] (CCF), and the five pillars described within are supportive of such a concept in my opinion. Especially pillars 2 & 3 which read as follows (emphasis added):

> 2. Long-Term Financial Promise
> New large energy customers sign a long-term contract that **commits them to providing sufficient revenue to cover the utility's investments made on their behalf.**
> 3. Guaranteed Minimum Payment
> Large energy customers **cover the cost of the capacity built to serve them.** Without a sufficient minimum payment for the infrastructure required, if a large energy customer's demand falls short of projections, the cost of that unused equipment could unfairly fall on the public.

Google's CCF and its five pillars are closely aligned with the Company's proposal in this proceeding and the other AEP vertically integrated operating company proposals to which Google has publicly agreed. I have attached a copy of the CCF to my rebuttal testimony as EXHIBIT AEV-3R.

Q. IS THE SYSTEM CONTRIBUTION CHARGE A NEW PROFIT CENTER OR A SOURCE OF FINANCIAL BENEFIT THAT WILL ACCRUE SOLELY TO

[19] https://www.gstatic.com/marketing-cms/44/6b/dbb3456040b486886bb8aff87588/the-capacity-commitment-framework-ccf-jan.pdf.

THE COMPANY'S SHAREHOLDERS AS ALLEGED BY OIEC AND THE DCC?[20]

A. No, it is not. OIEC should be aware of this fact since the Company made them aware in response to OIEC 2-14, part b. When asked to "provide a description of how the contribution charge will be included in the revenue requirement," the Company responded:

> The proposed System Contribution Charge has not been included as an offset to the revenue requirement in this filing. **If approved by the Commission, it would be most appropriate for the Commission to include the actual amount of System Contribution Charges billed to large load customers as a revenue offset in the Company's proposed ESR mechanism.** (emphasis added) That mechanism is where the Company is proposing to recover the financing costs of new generation investments being added to the system to support the addition of the contemplated load growth.

Nowhere in this filing, or the Company's responses to data requests, does the Company indicate that the proposed SCC is some sort of new "profit center." Rather, it is another tool for the Commission to use to protect existing customers from paying a disproportionate share of system expansion costs. As mentioned earlier, it also helps align cost responsibility with those causing the system costs, in this case the large load customers that are coming online in the near future.

Q. DESPITE THE ISSUES RAISED BY THE PARTIES' RESPONSIVE TESTIMONIES, SHOULD THE COMMISSION APPROVE THE PROPOSED SCC?

[20] May 15, 2026, Responsive testimony of OIEC witness M. Garrett at pg. 17; Responsive testimony of DCC witness Bieber at pg. 42.

A. Yes. For all of the reasons I have discussed previously in this section. Additionally, the passage of HB 2992 can be read to further support the Company's proposal:

> The applicable governing body shall ensure that all rates are fair, just and reasonable, and costs and revenues are assigned and allocated **among customers in accordance with cost causation principles**." (Emphasis added)

As I discussed previously, while being a novel concept, the proposed SCC is firmly rooted in cost causation principles.

IX. BRING YOUR OWN GENERATION PROPOSALS

Q. PLEASE ADDRESS THE "BRING YOUR OWN GENERATION" CONCEPT PROPOSED BY MULTIPLE PARTIES IN THEIR RESPONSIVE TESTIMONIES.

A. Multiple intervening parties[21] recommend a "Bring Your Own Generation" (BYOG) provision, in which customers could build or fund their own dedicated, in front of or behind the meter, power generation rather than taking generation from the serving utility. These proposals are incredibly flawed, unnecessary, are unrealistic from an electrical system perspective, and will most likely achieve the opposite of the stated goal and raise costs for all customers.

I will address the following areas of concern as it relates to the BYOG concept:

1. Sleeved PPAs are thinly veiled attempts at retail wheeling.
2. If customers truly wish to build partial requirements behind the meter generation systems, they have the right to do so, and the Company can accommodate standby service agreements.

[21] PUD Staff, OIEC, DOD, and Google.

3. The parties' concerns in this area are over-stated and this concept is unnecessary at this time. There will be many opportunities to address the terms of new supply assets and right size the Company's generation portfolio as current assets retire over time.[22]
4. The likely outcome of this concept is higher generation supply costs for all of PSO's customers and reduced potential benefits from load growth for existing customers.
5. Single supply assets are not capable of providing service to large, very high load factor customers.
6. Oklahoma is a fully regulated vertically integrated state from the perspective of electric utility regulation, this concept is not a workable lower cost solution that we have observed in the Company's vertically integrated affiliates' states. The example provided by Mr. Kimbrough in his testimony is to a fully de-regulated, un-bundled state where it is not currently legal for the electric distribution utility to own generation resources.

Q. IS THE SLEEVED PPA FORM OF "BRING YOUR OWN GENERATION" IN THE BEST INTEREST OF OKLAHOMA CUSTOMERS?

A. No, sleeved PPAs are thinly veiled attempts at retail wheeling. I have been advised that the Oklahoma legislature has provided corporations the right to provide their own generation only if it is located on the corporation's premises and other conditions are met.[23] If the corporation selects this option, the utility has been relieved of any

[22] Direct testimony of Company witness McMahon, EXHIBIT MAM-2.
[23] 17 O.S. § 151(B).

obligation to make that corporation a customer and provide electric service. Company witness Horeled further explains why retail wheeling is not in the best interest of all customers.

Q. CAN THE COMPANY ACCOMMODATE BEHIND THE METER (BTM) BYOG FROM LARGE LOAD CUSTOMERS?

A. Yes. The concept of cogeneration for industrial customers and other partial requirements BTM systems has been around for a very long time. The Company and its affiliates have experience with tariff and contract structures to accommodate standby service for customers who wish to provide some amount of generation behind their meter. The Company's Standby and Supplemental Service offering is rate schedule 54 in the tariff book. Additionally, there is potential in this area for BTM dispatchable generation to lower incremental system costs through established structures like peak shaving agreements, which could lead to benefits for all customers.

Q. IS THE RISK OF OVERBUILDING THE COMPANY'S SYSTEM AND CREATING THE POTENTIAL FOR STRANDED ASSETS A REASON TO SUPPORT THE PROPOSED BYOG CONCEPT?[24]

A. No. We all understand that this is a time of once in a generation system load growth, but we need to not lose focus on long-term, portfolio-based system planning. Just because the Company has a need to add new supply resources now to meet contracted system needs does not mean that the Company will not have multiple opportunities to

[24] Responsive testimony of AG witness Beling, pg. 12, lines 5-11; May 15, 2026, Responsive testimony of OIEC witness Garrett, pg. 22, lines 12-14; Responsive testimony of DOD witness Blank, pg. 42, lines 15-19; Responsive testimony of Google witness Kimbrough, pg. 43; and May 15, 2026, Responsive testimony of PUD witness Purvis, pg. 46.

rebalance the total size and makeup of the generation supply portfolio in the coming years. As shown in Company witness McMahon's EXHIBIT MAM-2, the Company has 3,324 MW[25] of current generation supply resources that are potentially set to retire in the next 15 years. As these resources retire, the Company will have multiple opportunities, and the advantage of multiple years of new large load customer operations experience, to rebalance the generation supply portfolio and shorten terms of new resources if necessary. The parties' concerns in this area are very premature and speculative, for this reason alone the BYOG proposal should be denied.

Q. IN YOUR OPINION WOULD THE PROPOSED BYOG CONCEPT LEAD TO HIGHER COSTS FOR EXISTING CUSTOMERS?

A. Yes. If large load customers are allowed to contract for resources and avoid paying PSO system costs it will do the opposite of what the parties intend it to do. Costs for customers will go up as the large load customers sign up the most economic resources available in the market and then have the Company sleeve it to them and avoid paying for Commission approved tariff rates. Other customers would miss out on the benefit of the lowest cost available resources being averaged into their system rates.

These large load customers are unregulated, savvy entities that do not need to receive Commission approval to sign binding agreements with generators. If the large-load customer and the Company were competing for the same assets in a simultaneous RFP, it is unlikely that the Company would prevail. For example, an economically logical developer would sign with the large load corporate buyer to avoid the

[25] See also Direct testimony of Company witness McMahon, EXHIBIT MAM-2.

uncertainty, and extra cost of holding the project longer, waiting for Commission regulatory approval. Thus, in this example existing customers will logically miss out on the most economic generation available if the contract and sleeve concept is allowed.

Q. HAS THE COMPANY EXPERIENCED THIS RECENTLY?

A. Yes. In the Company's 2023 All-Source RFP for new system resources a developer pulled a project that had been bid into the Company's RFP because it had been contracted to a corporate buyer. The Company then had to go down the list and pull in an incremental resource that did not score as highly as the lost asset did. Thus, the total portfolio was an incrementally higher cost than it would have been but for losing that project to the corporate buyer.

Q. ARE THERE ADDITIONAL REASONS WHY THE PROPOSED BYOG CONCEPT COULD LEAD TO HIGHER COSTS FOR EXISTING CUSTOMERS?

A. Yes. Obviously, if a large-load customer contracted for some level of capacity from a resource, they would not also want to pay the cost of the Company's generation system for those same billing units. Therefore, the potential for average costs to go down as new resources are added to the system, or for existing customers to benefit from fixed costs being shifted (inter-class allocations of fixed costs) to the new large-load customers, is eliminated with the BYOG concept.

Q. IS GOOGLE WITNESS KIMBROUGH'S BYOG PROPOSAL[26] MISLEADING AND UNREALISTIC?

A. Yes, It is misleading in that Mr. Kimbrough claims that "an established template already exists within PSO's own corporate family" for a BYOG offering when he references AEP Ohio at page 44 of his responsive testimony. He is wrong in this comparison. AEP Ohio is a wires only transmission and distribution utility operating in a fully deregulated state. The legal and regulatory structure for electric utilities is completely different from that of Oklahoma. AEP Ohio does not sleeve BYOG deals, they procure third-party market generation for standard service offer customers that have not shopped with another supplier and charge all remaining generation supply customers those costs. Customers in Ohio have the ability to shop for generation supply service, and when they do so, AEP Ohio does not procure market energy for them. The Ohio deregulated framework is not the retail wheeling BYOG concept within a regulated for generation service, vertically integrated utility as Mr. Kimbrough suggests.

His testimony about the proposal is also misleading when he indicates that:

> To ensure strict cost causation and ratepayer protection, the billing and operational rules in the exhibit are designed so the customer remains fully responsible for the physical grid footprint. The self-supplying customer continues to pay standard retail transmission, distribution, and customer charges, but they bypass PSO-built generation base charges.[27]

In the same paragraph he invokes "strict cost causation" and then ends with a proposal to dodge or "bypass" the system costs that will actually provide service to the

[26] Responsive testimony of Google witness Kimbrough, pg. 42-48.
[27] Responsive testimony of Google witness Kimbrough, pg. 47, ln. 13-16.

customer. For example, in Google's proposed framework it could contract for solar PPAs in an amount equal to their accredited capacity obligations and avoid paying the Company's generation system costs which would absolutely be providing service to Google when the sun is not shining. It is unrealistic to think that a single resource could serve any 24/7, high load factor large load customer. Intermittent resources by definition are not always available, and even dispatchable resources are not capable of providing non-stop service as they require maintenance and have forced outages. Mr. Kimbrough addresses that issue somewhat by proposing to add additional standby rates to those the Company already has. These reasons are why the Company has a system of supply resources to reliably provide service to its Oklahoma retail customers, which interacts with the much larger Southwest Power Pool Regional Transmission Organization (SPP RTO) system. Large loads are not reliably served from a single source; the proposed BYOG framework is a financial construct to avoid paying system costs.

Furthermore, the Company does not have unbundled functional rates for service, so the non-generation portion of his proposal also does not work.

Q. IS THERE SOMETHING SIMILAR TO THE PROPOSED BYOG FRAMEWORKS IN THIS CASE THAT POTENTIALLY PROVIDES VALUE IN TERMS OF HELPING TO SECURE FUTURE SUPPLY RESOURCES?

A. Yes. If the large, sophisticated counterparties do have control of competitively priced resources in the SPP RTO, they could bid the capacity or the capacity and energy of those resources into the Company's future RFPs. In turn, those resources, if selected economically, would benefit all system customers and the large load customer would be compensated for them at the rate bid into the RFP. The large load customer also becomes a third-party supplier to the Company. This seems to be a more reasonable way to facilitate the usage of already contracted resources rather than the Company competing with unregulated entities for the same supply resources which will ultimately lead to higher costs for other customers.

X. OTHER ISSUES/RECOMMENDATIONS

Q. PLEASE ADDRESS OIEC WITNESS M. GARRETT'S ACCUSATION THAT THE COMPANY HAS NOT BEEN ACTING TRANSPARENTLY.[28]

A. Mr. Garrett states that the Company is already imposing tariffs and terms and conditions such as collateral and exit penalties. At the same time, it is seeking explicit Commission approval for those same provisions in this proceeding. He then claims that this alleged inconsistency calls into question whether the Company has been acting transparently and in good faith. What the Company has done thus far, without a Commission approved large load tariff, is to use the existing LPL Tariff, as well as the Extension Policy for Commercial or Industrial customers contained in the Company's Electric Service Rules, Regulations, and Conditions of Service. The previously executed contracts for electric service incorporate the LPL tariff by reference. To the extent the Commission changes the terms, conditions, and rates for service in this proceeding, those customers will be subject to those changes as well. The Company has acted transparently and continues to do so as it requests Commission approval of this framework in this proceeding.

[28] May 15, 2026, Responsive testimony of OIEC witness M. Garrett, pg. 6-7.

Q. PLEASE EXPLAIN AG WITNESS BELING'S PROPOSED ALTERNATIVE LARGE LOAD FRAMEWORK TARIFF.[29]

A. AG witness Beling proposes an Alternative Large Load Framework with a tiered approach to serving new large load customers based on contract capacity with different tariffs and requirements applying at different load sizes. His proposal also hinges upon requiring large load customers to BYOG above a certain level of contract demand.

Q. DO YOU AGREE WITH HIS PROPOSED FRAMEWORK?

A. No. It suffers from all of the same flaws previously described in the BYOG section of this testimony and as such the Commission should deny his alternative framework.

XI. CONCLUSION

Q. DOES THIS CONCLUDE YOUR REBUTTAL TESTIMONY?

A. Yes, it does.

[29] Responsive testimony of AG witness Beling, pgs. 18-20

AFFIDAVIT OF ALEX E. VAUGHAN

STATE OF OHIO

COUNTY OF FRANKLIN

On the 29th day of May, 2026, before me appeared Alex E. Vaughan to me personally known, who, being by me first duly sworn, states that he is the Managing Director of Regulated Pricing for American Electric Power Service Corporation and acknowledges that he has read the above and foregoing document and believes that the statements therein are true and correct to the best of his information, knowledge and belief.

Alex E. Vaughan

Subscribed and sworn to before me this 29th day of May 2026

Notary Public

My commission expires: N/A

NOTARIAL SEAL STATE OF OHIO

BRETT E. SCHMIED, Attorney At Law
NOTARY PUBLIC - STATE OF OHIO
My commission has no expiration date
Sec. 147.03 R.C.

AVAILABILITY

This rate schedule is available on an annual basis to any retail customers served at Transmission, Transmission Substation, or Primary Service as defined below:

RATE CODE	DESCRIPTION
242	Transmission Service is defined as service taken directly from the transmission system (69 kV or greater) with no transformation provided by the Company.
244	Primary Substation Service is defined as service taken directly from the transmission system (69 kV or greater) with one transformation provided through a Company owned substation or transformer.
246	Primary Service is defined as: 1) service taken from a primary distribution line (34 kV or lower) with only one transformation provided by the Company from the transmission system (69 kV or higher); or, 2) service taken from a primary distribution line at 2.4 kV to 34 kV with more than one transformation provided by the Company from the transmission system.

This schedule is not available to Secondary customers. This schedule is not available for resale, stand-by, breakdown, auxiliary or supplemental service. It is the customer's option whether service will be supplied under this schedule or any other schedule for which the customer is eligible. Once this schedule is selected, service will continue to be supplied under this schedule for twelve consecutive months unless a material and permanent change in the customer's load occurs.

A written contract is required for customers taking service under this rate schedule. Individual customers receiving service under this schedule will not be permitted to migrate between Transmission, Primary Substation, and Primary Service until the expiration of their current contract.

Service will be supplied at one delivery point and shall be at one standard voltage.

The Company will furnish service in accordance with the Company's Rules, Regulations, and Conditions of Service, and the Rules and Regulations of the Oklahoma Corporation Commission.

MONTHLY RATES

Base Service Charge $280.00

	Transmission (242)	P-Substation (244)	Primary (246)
Energy Charge (kWh)	$0.001710	$0.002459	$0.003057
Peak Demand Charge (kW)	$14.67	$19.03	$19.99
Maximum Demand Charge (kW)	$5.14	$6.99	$8.26

Reactive Power Charge

See Reactive Power Schedule.

DETERMINATION OF ON-PEAK PERIOD

The On-Peak period is defined as those hours between 2:00 p.m. and 9:00 p.m. local time, Monday through Friday, from June 1 through September 30, excluding Juneteenth, Independence Day, and Labor Day holidays.

DETERMINATION OF MONTHLY BILLING DEMANDS

Two demand values are required for monthly billing; (1) **PEAK DEMAND** and (2) **MONTHLY MAXIMUM DEMAND.**

Peak Demand

Peak demand is determined as follows:

June 1 through September 30 -- the greater of the current month's maximum *On-Peak period* demand or ninety percent (90%) of the highest *On-Peak period* demand occurring during the preceding eleven (11) months.

October 1 through May 31 -- is equal to ninety percent (90%) of the highest *On-Peak period* demand occurring during the preceding eleven (11) months.

The Peak Demand for premises without previously established *On-Peak period* demand history will be seventy-five percent (75%) of the current month's maximum demand until an *On-Peak period* demand is established.

Monthly Maximum Demand

The Monthly Maximum Demand and the monthly maximum kVAR requirements will be the highest metered kW and kVAR occurring during the month. Metered data is based on thirty-minute integrated periods measured by demand meters.

DETERMINATION OF MINIMUM MONTHLY BILL

The Minimum Monthly Bill is the *Base Service Charge* plus the demand charges.

The Minimum Monthly Bill shall be adjusted according to *Adjustments to Billing*. If the customer's load is highly fluctuating to the extent that it causes interference with standard quality service to other loads, the customer will be required to pay the Company’s cost to install transformer capacity necessary to correct such interference.

ADJUSTMENTS TO BILLING

Fuel Cost Adjustment

The amount calculated at the above rates is subject to adjustment under the provisions of the Company's Fuel Cost Adjustment Rider.

Tax Adjustment

The amount calculated at the above rates is subject to adjustment under the provisions of the Company's Tax Adjustment Rider.

Metering Adjustment

The amount calculated at the above rates is subject to adjustment under the provisions of the Company's Metering Adjustment Rider.

TERMS OF PAYMENT

Monthly bills are due and payable by the due date. Monthly bills unpaid by the due date will be assessed a late payment charge of 1 ½ percent of the total amount due.

SPECIAL TERMS AND CONDITIONS

This Schedule is subject to the Company's standard Terms and Conditions of Service except where modified in this section.

LARGE LOAD CUSTOMERS

Applicability

The following terms and conditions do not apply to the contracted capacity of any existing customer receiving electric service from the Company as of January 1, 2026. After January 1, 2026, the following terms and conditions apply to any new load, and to any expansion of existing load, so long as that new load or load expansion itself has a contract capacity greater than or equal to 10 MW at an individual site or 10 MW on an aggregated basis (“Large Load Customer”). The Company will exercise reasonable discretion when choosing to aggregate premises, with such discretion based on factors including, but not limited to, premises sharing one or more of the following: common owner(s), a common parent company, common local electrical infrastructure, and common control. Large Load Customer’s Initial Contract Term, load ramp, Load Ramp Period, contract capacity, and other terms of service under this Tariff will be defined in the Contract for Electric Service(s) (“CES(s)”) executed between the Company and Large Load Customer.

Contract Term

The Large Load Customers with a contract capacity of less than 75 MW shall have an Initial Contract Term of not less than 2 years. A Large Load Customer may designate a Load Ramp Period, which can be no greater than five years. If a Load Ramp Period is designated by the Large Load Customer, the Initial Contract Term shall commence after the Load Ramp Period ends. The Load Ramp Period is the later period of time from when: (a) electric service is available to the Large Load Customer or (b) the Large Load Customer is scheduled to begin taking electric service, until the time the Large Load Customer’s maximum contract capacity is billed. The Contract Term is the Load Ramp Period plus the Initial Contract Term. Unless proper written notice is provided, the Initial Contract Term shall be evergreen and extend on anniversary date until such written notice is provided.

Monthly Billing Demand

The Monthly Billing Demands for Large Load Customers shall be the single-highest 30-minute integrated peak in kW, as registered during the month in the on-peak period and max demand period as described in this Schedule, by a demand meter or indicator. The monthly billing demand established hereunder shall not be less than the greater of (a) eighty percent (80%) of the Large Load Customer's contract capacity specified for the applicable time period or (b) ninety percent (90%) of the Large Load Customer's highest previously established Monthly Billing Demand during the past 11 months. For avoidance of doubt, this provision applies to both the On-Peak and Maximum Monthly Demand provisions of schedule LPL.

Minimum Charge

The Large Load Customer is subject to a minimum monthly charge equal to the sum of the Customer Charge, the product of the demand charges and the monthly billing demand, and all applicable adjustments.

System Contribution Charge

The Large Load Customer shall be subject to the System Contribution Charge of $4.88 /kW-month beginning the first full month following the execution of the Large Load Customer's contract for electric service by the Company and the Large Load Customer. The System Contribution Charge shall cease billing when the Large Load Customer begins taking electric service from the Company and is billed under the provisions of schedule LPL.

The billing demand for the System Contribution Charge shall be the average demand for the first year of the Large Load Customer's future service as outlined in the executed contract for electric service.

Collateral Requirement

The Large Load Customer shall provide collateral in a form acceptable to the Company based upon the creditworthiness of the customer as determined by the Company. The amount of collateral provided shall be equal to 24 times the Large Load Customer's previous maximum monthly non-fuel bill plus any additional outstanding direct interconnection investment once the Initial Contract Term has begun. During the first year, or any designated ramp period of the contract, the maximum expected bill shall be based upon the Large Load Customer's ultimate contract capacity. The amount of collateral to be provided will be recomputed annually and updated if the recomputed value is ten percent (10%) greater or less than the current amount held.

Notice And Exit Fee

Notice period for the Large Load Customer with a contract capacity greater than 10 MW but less than 75 MW to terminate its contract shall be 24 months. Notice shall be provided by giving the Company at least 24 months written notice, subject to payment of a termination fee ("Exit Fee").

The Exit Fee shall be due and payable to the Company upon the effective date of the contract termination. The Exit Fee shall be calculated as the nominal value of the remaining Minimum Charge for the terminated capacity for the remaining contract term. The Exit Fee Period is defined as the Large Load Customer's then remaining Initial Contract Term, or any agreed extension.

Following receipt of proper notice, the Company will use reasonable efforts, consistent with its obligations as a public utility, to mitigate the Exit Fee amount owed or paid by the Large Load Customer by evaluating the opportunity to assign the terminated/reduced capacity to serve new Large Load Customers, to expand service to existing Large Load Customers, or otherwise secure offsetting expected revenues. The remainder of any mitigating amounts owed to the Large Load Customer shall be delivered to the Large Load Customer, or its designated successor, after all outstanding balances have been resolved.

If there is an issue concerning the calculation of the Exit Fee or delivery of any mitigation amounts, that either the Company or Large Load Customer view as in need of escalation, either the Company or Large Load Customer may request escalation. Such request shall be made in writing and within 14 business days of the Large Load Customer being notified regarding the Exit Fee calculation. In such instance, management representatives for the Company and for the Large Load Customer will discuss and seek to resolve any issues. The management discussion shall occur within 14 business days of a request, unless otherwise agreed to in writing by the Company and Large Load Customer. The Company and Large Load Customer agree to use this escalation process in good faith, escalating only those matters appropriate for management's consideration. This dispute resolution process does not limit or otherwise affect the ability of either Large Load Customer or the Company to file a formal proceeding requesting the Commission to resolve the dispute.

Large Load Customer shall not assign any of its rights or delegate any of its obligations under the Contract without the written consent of the Company. An assignment or delegation in violation of this Paragraph is null and void.

AVAILABILITY

This rate schedule is available on an annual basis to any retail customers served at Transmission or Transmission Substation service as defined below:

After January 1, 2026, the following terms and conditions apply to any new load, and to any expansion of existing load, so long as that new load or load expansion itself has a contract capacity greater than or equal to 75 MW at an individual site or 75 MW on an aggregated basis ("Large Load Customer"). The Company will exercise reasonable discretion when choosing to aggregate premises, with such discretion based on factors including, but not limited to, premises sharing one or more of the following: common owner(s), a common parent company, common local electrical infrastructure, and common control. Large Load Customer's Initial Contract Term, load ramp, Load Ramp Period, contract capacity, and other terms of service under this Tariff will be defined in the Contract for Electric Service(s) ("CES(s)") executed between the Company and Large Load Customer.

RATE CODE	DESCRIPTION
240	Transmission Service is defined as service taken directly from the transmission system (69 kV or greater) with no transformation provided by the Company.
241	Primary Substation Service is defined as service taken directly from the transmission system (69 kV or greater) with one transformation provided through a Company owned substation or transformer.

This schedule is not available to Secondary customers. This schedule is not available for resale, stand-by, breakdown, auxiliary or supplemental service. It is the customer's option whether service will be supplied under this schedule or any other schedule for which the customer is eligible. Once this schedule is selected, service will continue to be supplied under this schedule for twelve consecutive months unless a material and permanent change in the customer's load occurs.

Contract Term

A written contract is required for customers taking service under this rate schedule. Individual customers receiving service under this schedule will not be permitted to migrate between Transmission and Primary Substation service, until the expiration of their current contract.

The Large Load Customers with a contract capacity equal to or greater than 75 MW shall have an Initial Contract Term of not less than 10 years. A Large Load Customer may designate a Load Ramp Period, which can be no greater than five years. If a Load Ramp Period is designated by the Large Load Customer, the Initial Contract Term shall commence after the Load Ramp Period ends. The Load Ramp Period is the later period of time from when: (a) electric service is available to the Large Load Customer or (b) the Large Load Customer is scheduled to begin taking electric service, until the time the Large Load Customer's maximum contract capacity is billed. The Contract Term is the Load Ramp Period plus the Initial Contract Term. Unless proper written notice is provided, the Initial Contract Term shall be evergreen and extend on the anniversary date until such written notice is provided.

Service will be supplied at one delivery point and shall be at one standard voltage.

The Company will furnish service in accordance with the Company's Rules, Regulations, and Conditions of Service, and the Rules and Regulations of the Oklahoma Corporation Commission.

MONTHLY RATES

Base Service Charge $280.00

	Transmission (240)	P-Substation (241)
Energy Charge (kWh)	$0.001710	$0.002459
Peak Demand Charge (kW)	$14.67	$19.03
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Reactive Power Charge

See Reactive Power Schedule.

DETERMINATION OF ON-PEAK PERIOD

The On-Peak period is defined as those hours between 2:00 p.m. and 9:00 p.m. local time, Monday through Friday, from June 1 through September 30, excluding Juneteenth, Independence Day, and Labor Day holidays.

DETERMINATION OF MONTHLY BILLING DEMANDS

Two demand values are required for monthly billing; (1) **PEAK DEMAND** and (2) **MONTHLY MAXIMUM DEMAND.**

Peak Demand

Peak demand is determined as follows:

June 1 through September 30 -- the greater of the current month's maximum *On-Peak period* demand or ninety percent (90%) of the highest *On-Peak period* demand occurring during the preceding eleven (11) months.

October 1 through May 31 -- is equal to ninety percent (90%) of the highest *On-Peak period* demand occurring during the preceding eleven (11) months.

The Peak Demand for premises without previously established *On-Peak period* demand history will be seventy-five percent (75%) of the current month's maximum demand until an *On-Peak period* demand is established.

Monthly Maximum Demand

The Monthly Maximum Demand and the monthly maximum kVAR requirements will be the highest metered kW and kVAR occurring during the month. Metered data is based on thirty-minute integrated periods measured by demand meters.

Minimum Demand

The Monthly Billing Demands for Large Load Customers shall be the single-highest 30-minute integrated peak in kW, as registered during the month in the On-Peak period and max demand period as described in this Schedule, by a demand meter or indicator. The monthly billing demand established hereunder shall not be less than the greater of (a) eighty percent (80%) of the Large Load Customer's contract capacity specified for the applicable time period; or (b) ninety percent (90%) of the Large Load Customer's highest previously established Monthly Billing Demand during the past 11 months. For avoidance of doubt, this provision applies to both the On-Peak and Maximum Monthly Demand provisions.

DETERMINATION OF MINIMUM MONTHLY BILL

The Large Load Customer is subject to a minimum monthly charge equal to the sum of the Customer Charge, the product of the demand charges and the monthly billing demand, and all applicable adjustments.

The Minimum Monthly Bill shall be adjusted according to *Adjustments to Billing*. If the customer's load is highly fluctuating to the extent that it causes interference with standard quality service to other loads, the customer will be required to pay the Company's cost to install transformer capacity necessary to correct such interference.

ADJUSTMENTS TO BILLING

Fuel Cost Adjustment

The amount calculated at the above rates is subject to adjustment under the provisions of the Company's Fuel Cost Adjustment Rider.

Tax Adjustment

The amount calculated at the above rates is subject to adjustment under the provisions of the Company's Tax Adjustment Rider.

Metering Adjustment

The amount calculated at the above rates is subject to adjustment under the provisions of the Company's Metering Adjustment Rider.

TERMS OF PAYMENT

Monthly bills are due and payable by the due date. Monthly bills unpaid by the due date will be assessed a late payment charge of 1 ½ percent of the total amount due.

SPECIAL TERMS AND CONDITIONS

This Schedule is subject to the Company's standard Terms and Conditions of Service except where modified in this section.

System Contribution Charge

The Large Load Customer shall be subject to the System Contribution Charge of $4.88 /kW-month beginning the first full month following the execution of the Large Load Customer's contract for electric service by the Company and the Large Load Customer. The System Contribution Charge shall cease billing when the Large Load Customer begins taking electric service from the Company and is billed under the provisions of schedule LPL.

The billing demand for the System Contribution Charge shall be the average demand for the first year of the Large Load Customer's future service as outlined in the executed contract for electric service.

Collateral Requirement

The Large Load Customer shall provide collateral in a form acceptable to the Company based upon the creditworthiness of the customer as determined by the Company. The amount of collateral provided shall be equal to 24 times the Large Load Customer's previous maximum monthly non-fuel bill plus any additional outstanding direct interconnection investment once the Initial Contract Term has begun. During the first year, or any designated ramp period of the contract, the maximum expected bill shall be based upon the Large Load Customer's ultimate contract capacity. The amount of collateral to be provided will be recomputed annually and updated if the recomputed value is ten percent (10%) greater than the current amount held.

Direct interconnection investment shall be defined as all 'transmission and distribution facility' investment not included for recovery in PSO and AEP Oklahoma Transmission Company, Inc. SPP OATT revenue requirement.

Notice And Exit Fee

Notice period for the Large Load Customer with a contract capacity of 75 MW or greater to terminate its contract shall be 60 months. Notice shall be provided by giving the Company at least 60 months written notice, subject to payment of a termination fee ("Exit Fee"). Notice period for the Large Load Customer with a contract capacity greater than 10 MW but less than 75 MW to terminate its contract shall be 24 months. Notice shall be provided by giving the Company at least 24 months written notice, subject to payment of a termination fee ("Exit Fee").

The Exit Fee shall be due and payable to the Company upon the effective date of the contract termination. The Exit Fee shall be calculated as the nominal value of the remaining Minimum Charge for the terminated capacity for the remaining contract term. The Exit Fee Period is defined as the Large Load Customer's then remaining Initial Contract Term, or any agreed extension.

Following receipt of proper notice, the Company will use reasonable efforts, consistent with its obligations as a public utility, to mitigate the Exit Fee amount owed or paid by the Large Load Customer by evaluating the opportunity to assign the terminated/reduced capacity to serve new Large Load Customers, to expand service to existing Large Load Customers, or otherwise secure offsetting expected revenues. The remainder of any mitigating amounts owed to the Large Load Customer shall be delivered to the Large Load Customer, or its designated successor, after all outstanding balances have been resolved.

If there is an issue concerning the calculation of the Exit Fee or delivery of any mitigation amounts, that either the Company or Large Load Customer view as in need of escalation, either the Company or Large Load Customer may request escalation. Such request shall be made in writing and within 14 business days of the Large Load Customer being notified regarding the Exit Fee calculation. In such instance, management representatives for the Company and for the Large Load Customer will discuss and seek to resolve any issues. The management discussion shall occur within 14 business days of a request, unless otherwise agreed to in writing by the Company and Large Load Customer. The Company and Large Load Customer agree to use this escalation process in good faith, escalating only those matters appropriate for management's consideration. This dispute resolution process does not limit or otherwise affect the ability of either Large Load Customer or the Company to file a formal proceeding requesting the Commission to resolve the dispute.

Large Load Customer shall not assign any of its rights or delegate any of its obligations under the Contract without the written consent of the Company. An assignment or delegation in violation of this Paragraph is null and void.

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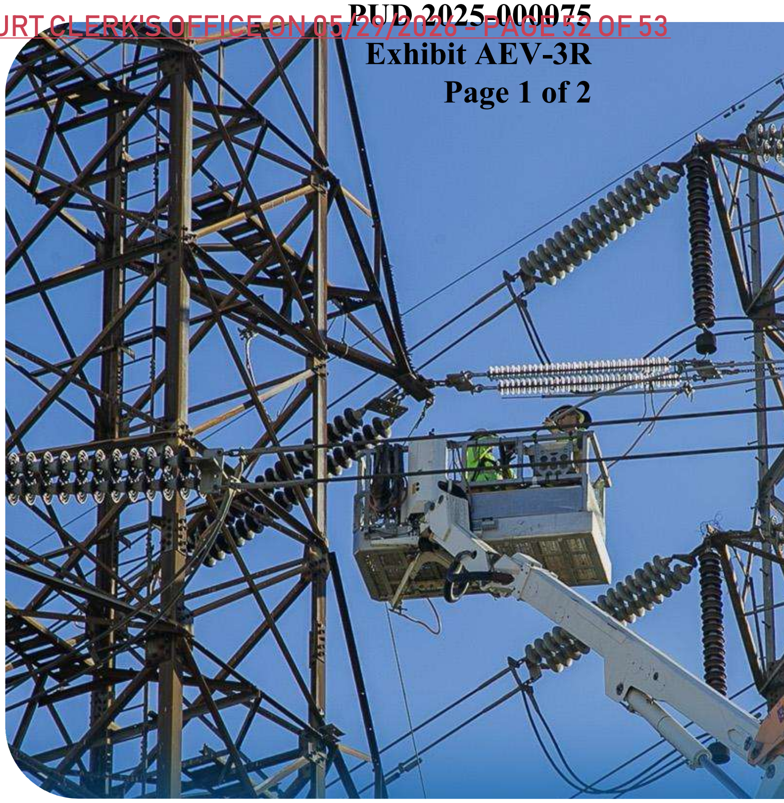
The Capacity Commitment Framework

The Capacity Commitment Framework (CCF) is a new contract model that offers a common-sense solution for large energy customers to responsibly buy electricity without burdening others with the costs of building infrastructure for new projects.



The Challenges

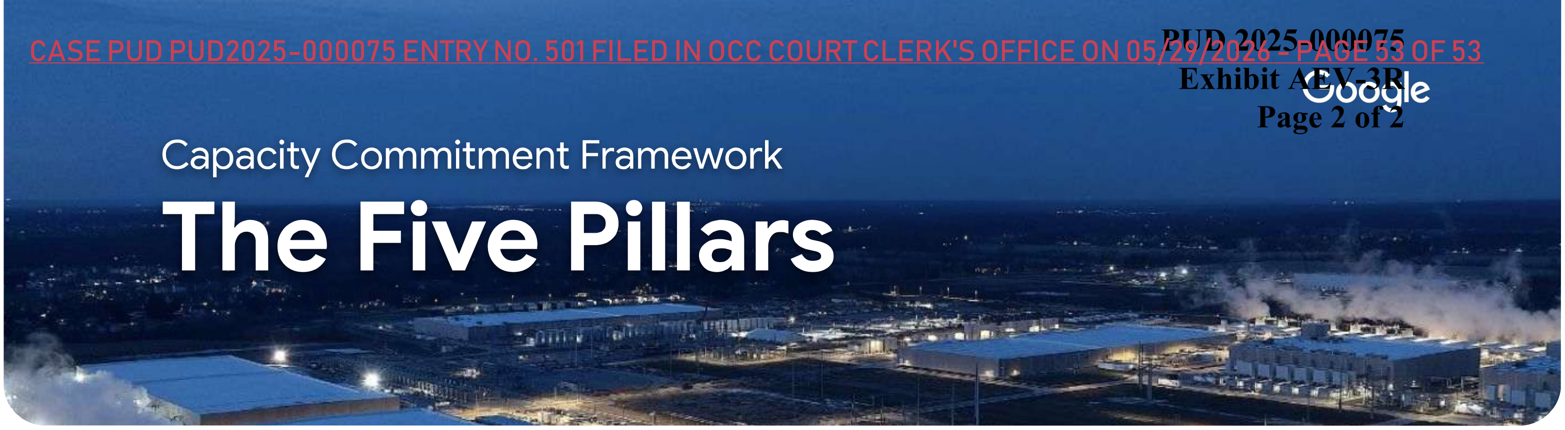
Electricity demand is increasing around the world, including in the United States. Utilities need to invest in new power sources and grid upgrades to keep up, but they are worried about spending money on projects that may not be used. If that happens, everyday American families and businesses could end up paying the bill for these wasted investments.

The Solution

With the CCF, large energy customers make a financial promise to pay for the infrastructure built to serve them. The large energy customer signs a binding contract upfront that assures it will stick to its commitment. This reduces the risk for utilities, giving them the confidence to immediately fund and build the infrastructure for more power sources and grid upgrades.

The Triple Win

Everyone benefits from this approach. The CCF is designed to shield American families from having to bear the costs of large energy customers and to ensure they benefit from a more affordable and reliable grid. It unlocks growth for major industries, creating jobs and supporting American economic competitiveness. And it allows utilities to build with confidence, which is urgently needed.



Capacity Commitment Framework

The Five Pillars

1. Amount-Based Approach

The CCF is an amount-based approach, not a use-based one. Terms apply to all customers requesting power supply above a certain amount because of the significant infrastructure required. Whether that power runs a factory or a data center, the impact on the grid is the same, and the rules should be too.

2. Long-Term Financial Promise

New large energy customers sign a long-term contract that commits them to providing sufficient revenue to cover the utility's investments made on their behalf.

3. Guaranteed Minimum Payment

Large energy customers cover the cost of the capacity built to serve them. Without a sufficient minimum payment for the infrastructure required, if a large energy customer's demand falls short of projections, the cost of that unused equipment could unfairly fall on the public.

4. Upfront Collateral

Regulators should require a security deposit or similar proof of financial stability. This proves the large energy customer has the financial health to honor their long-term contract, protecting the utility and public if things go wrong.

5. Transparent Change & Cancellation Fees

To protect others, appropriate notice periods and fees for contract cancellation or capacity reduction should be established for large energy customers.

The CCF is a proven, common-sense solution. It balances the needs of growth, utility planning, and consumer protection, which is why it has already been adopted by several utilities across the country.